ECONOMIC LIBERALISATION, 1991

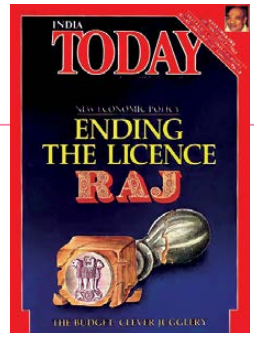
BREAKING THE SHACKLES

In 1990, India faced economic collapse with dwindling forex reserves and mounting debt. The next year, the Narasimha Rao government, with Manmohan Singh as finance minister, launched transformative reforms, dismantling protectionism and reshaping the economy

BY M.G. ARUN

Everything that could go wrong seemed to be going wrong for India in the year of its transition to the '90s. V.P. Singh's implementation of the Mandal Commission report had ignited an unexpected firestorm in North India, L.K. Advani had embarked on his rath yatra that threatened to inflame communal passion. Unsustainable borrowing and high expenditure had brought the balance of payments (BoP) crisis to a head. The V.P. Singh government that came to power in 1989 had inherited the festering problem from the previous Rajiv Gandhi regime but failed to take corrective action. "He [Singh] came into government when the foreign exchange reserves were $3.6 billion, or about eight weeks of imports of that year. This was very low by any standard," Montek Singh Ahluwalia, former deputy chairman of the erstwhile Planning Commission of India, revealed in his book *Backstage: The Story Behind India's High Growth Years*. "By the time he left in November 1990, the reserves had dropped to $1.9 billion, just over three weeks' worth of imports!"

As feared, the Chandra Shekhar government, which succeeded the V.P. Singh gov-

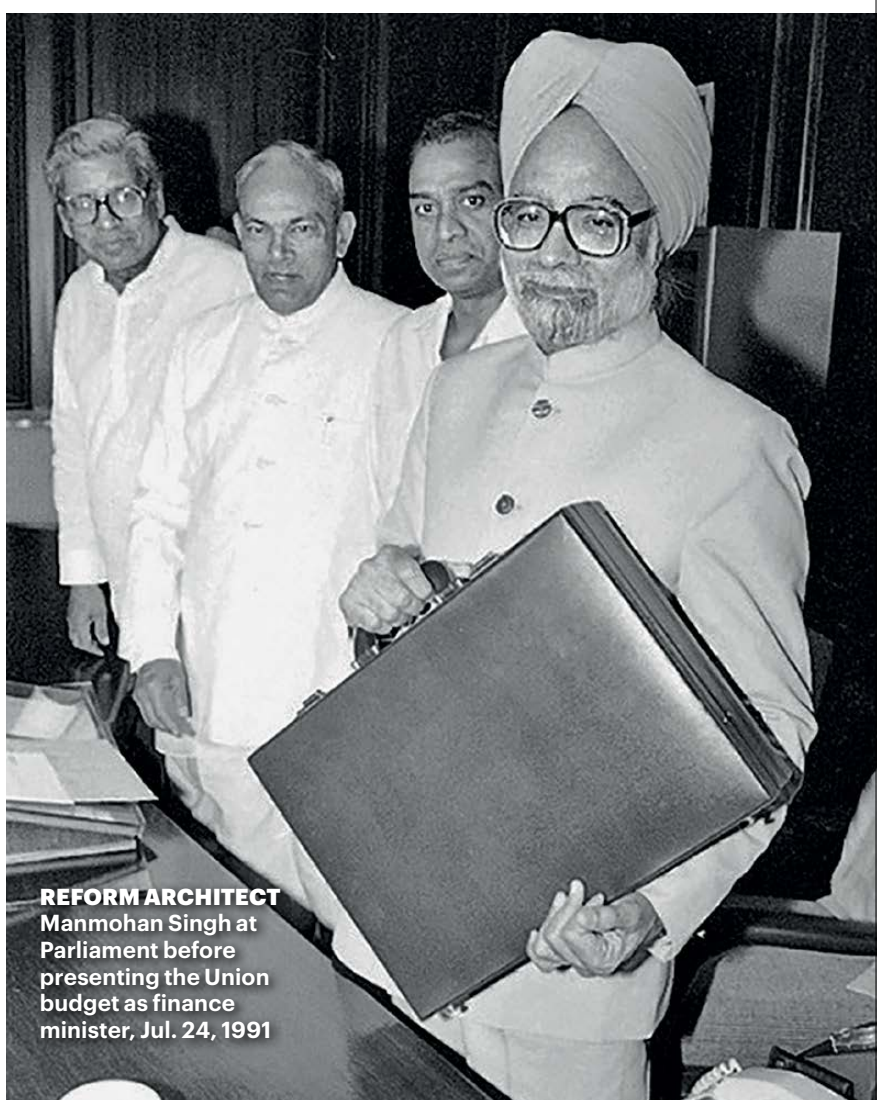


FROM THE ARCHIVES
Aug. 15, 1991

Cover Story
New Economic Policy: Ending the Licence Raj

There is something that Rajiv Gandhi forgot to do as prime minister. He talked about taking India into the 21st century, but forgot all about the present one and the opposition it may have in the future. P.V. Narasimha Rao, and his finance minister, Manmohan Singh, got it just right.

–Sudeep Chakravarti and R. Jagannathan



HINDUSTAN TIMES

REFORM ARCHITECT Manmohan Singh at Parliament before presenting the Union budget as finance minister, Jul. 24, 1991